

Dr Reddys Laboratories Ltd

DRREDDY · Healthcare / Pharmaceuticals

ROE

19.74%

ROCE

24.37%

Net Profit Margin

19.91%

D/E

0.07

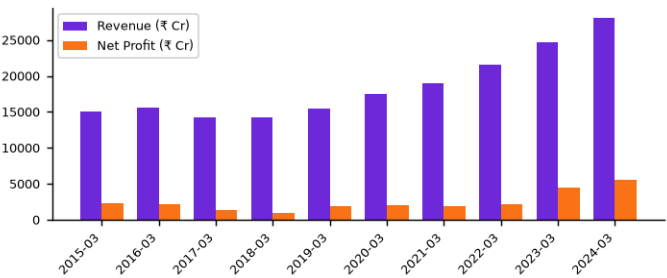
Revenue CAGR 5yr

12.64%

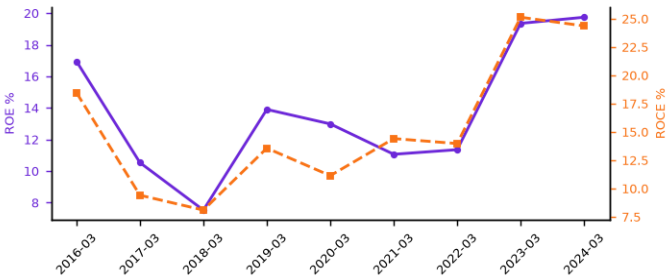
FCF (Rs. Cr)

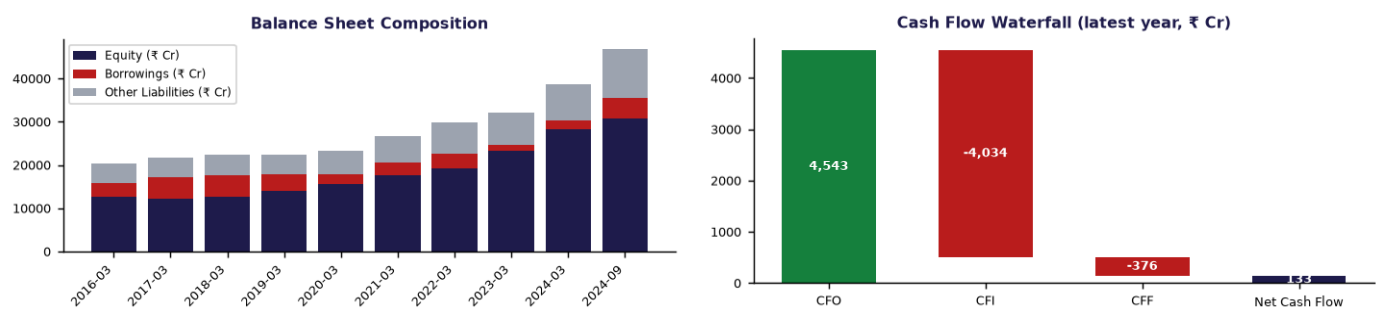
509

Revenue vs. Net Profit



ROE vs. ROCE





Pros

- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (94% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (84% confidence)
- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (80% confidence)

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (64% confidence)

Capital Allocation Pattern: **Reinvestor**